

Business Model

Powering value through strength, scale and trust

First Mills' business is built on the strength of its nationwide footprint, diversified product portfolio and deep operational capabilities, creating consistent value for Shareholders, customers, partners and other key Stakeholders. With leading market presence, advanced production assets and a resilient supply chain anchored by strong relationships with raw-material suppliers, the Company converts its resources into high-quality products that support national food security and deliver sustainable returns. A disciplined governance framework, an experienced leadership team and a commitment to innovation reinforce this model, enabling First Mills to meet rising demand, adapt to market shifts and expand into new opportunities with confidence.

Inputs

- Leading local market position
- Solid base of logistics and production facilities
- Risk management capabilities

Strengths and Competitive Advantages of the Company

- Product diversification and geographical spread
- Commitment to provide quality products
- Experienced and highly efficient team

Added Value To All Relevant Authorities and Stakeholders

- A diverse product portfolio with more than 90 main products of food and feed products.
- Five plants located in strategic locations, including two facilities in Jeddah in the Makkah Province, one of which is the newly acquired Al Manar feed plant with a daily capacity of 450 tons per day, as well as Al Qassim in Buraidah, Tabuk in Tabuk City and the Eastern Province Al-Ahsa.
- Sale and distribution warehouses belong to the Company or its distributors spread all over the Kingdom.
- Close and strong relationships with all raw material suppliers, including the General Food Security Authority (GFSA).
- Completed the acquisition of 60% of Al-Kenan Al-Arabia Trading Company.
- Professional constant monitoring and rigorous testing of raw materials and final products.
- High responsiveness and flexibility to address local market changes and global market trend aiming to meet the evolving customer needs.
- High capacity for expansion and penetration into new geographical areas by offering high-demanded products with superior quality.
- Obtaining a number of accreditations and certificates recognizing the quality of the Company's products and enhancing its position as a reliable and important partner for many major clients.
- Independent Board members with the highest level of experience, working for a number of prominent local and international companies in the same field and sector.
- A highly skilled executive team with wide experience in the milling and food sector of more than 200 years of related accumulated experience.
- The Company is supported by a comprehensive governance structure and strong internal control procedures and policies.
- Motivating work environment that managed to gain the highest levels of loyalty and satisfaction backed by premium job incentives and initiatives.

Outputs

- Reaching more than 30%* in the local flour market as a market share.
- Achieving attractive profit margins and sustainable growth that exceeds the average market rates and targets.
- Maintaining current leadership in the feed sector and expanding the bran production in alignment with the growth in flour volumes.
- Cash sales, which are immediately collected, account for 65% of the Company's product sales.
- Owning the first-of-its-kind durum mill for producing semolina with a production capacity capable of meeting local market demand with the possibility of exporting to regional markets.
- Fixed asset base with a book value of more than ₪ 820 million, backed by the latest modern technologies for flour and feed production.
- Ongoing follow-up on increasing the production capacity and constantly expanding and renovating plants to achieve the best possible returns and to meet the increasing market demands.
- Leveraging cutting-edge systems and technologies across all production processes to guarantee the highest quality.
- Building strategic, high-value partnerships with both the public and private sectors.
- A specialized team handles all potential risks at all levels.
- Raw materials supply agreements with the Company's suppliers, which contribute to mitigating and managing any risks associated with the fluctuations in the international market prices.
- Comprehensive review and assessment to mitigate risks and align with regulatory development in Saudi Arabia.
- A specialized team to manage the supply of raw materials and other purchases to ensure optimal business sustainability.



Shareholders and Investors

The Company is committed to protecting its Shareholders' rights, guaranteeing fairness and transparency in the provision of information and strengthening relations through diversified distributions. During 2025, First Milling Company distributed dividends totalling ₪ 173,880,000 for H1 and H2 2025. The Company also adheres to financial regulations, according to the instructions governing First Milling Company's Investor Relations (IR) Department operations, which is dedicated to efficiently addressing Shareholders' inquiries.



Customers

The Company adopts a client-centric principle to make certain customers' needs are met with the utmost quality. The process of quality verification and the provision of superior products are continuously assessed by the General Food Security Authority (GFSA), based on a comprehensive assessment of their production capacity.



Employees

The Company actively develops its human resources and management approach. It was recognized as Second Place – Best Induction Program, Silver Category from Employee Happiness Awards 2025 KSA; and First Place – Best Recruitment Strategy, Silver Category from Employee Happiness Awards 2025 KSA and is listed among the Employees Stock Incentive Plan as a program to attract and retain top talents.



Communities

The Company's programs with non-governmental organizations aim to support social responsibility, enhancing "sound and healthy life", especially towards youth programs and the fight against hunger and job fears. Additionally, First Milling Company plays an important role in food security, affirming its status as an inclusive workplace that meets employment and social needs.



Regulatory and Government Authorities

The Company works in full compliance with the disclosure and cooperative standards with regulatory authorities such as the Capital Market Authority (CMA), Zakat, Tax and Customs Authority (ZTCA) and the Food Security Authority along with the national food security strategy and the Saudi Vision 2030. Furthermore, First Milling Company participates in multiple government efforts in collaboration with the Ministry of Human Resources and Social Development (HRSD).



Partners

The Company provides sustainable value to all partners by delivering a high standard of experience and ensuring they receive the best quality products, while enabling the possibility of customization and forming the product mix according to the required specifications.

* According to GFSA